

nections to the ISI adds to the magnitude of the problem.

While the most visible impact of counterfeit currency is felt by the common man, the real motive is clearly to destabilise the Indian economy, fund terror and the narcotics trade. Following blasts in Bangalore, it was found that the attack was funded by a fake currency network and that Rs 30 lakh was spent on it. Now, the Central Government has decided to step

India without getting traced. Security officials reckon that the ISI-dispatched dirty money has become the prime facilitator of the well-oiled but low-cost terror and spy network. The terror masterminds are using counterfeit currency to cast their net wider. In Jammu and Kashmir, a mix of fake currency with genuine money is used by terror organisations to pay their cadres and enlist clandestine logistical support from locals.

Indian intelligence sources, is Major Tayyab, an ISI operator based in Pakistan. The gang operates modules in various countries. Not surprisingly, Dawood and his key associates are the biggest operators in this game as well. A Central Government report on fake banknotes has reiterated the involvement of Dawood gang's associates Aftab Batki, Tahir Taklya and Abdulla Haji. The second rung operators, who

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Fake Currency Seizures in India

YEAR	TOTAL NUMBER OF CASES	NO. OF PIECES SEIZED	AMOUNT
2001	934	2,15,992	Rs 5.3 crore
2002	829	3,31,034	Rs 6.6 crore
2003	1,464	3,88,843	Rs 5.7 crore
2004	1,176	4,34,700	Rs 7 crore
2005	1,990	3,61,700	Rs 6.9 crore
2006	1,789	3,57,496	Rs 8.4 crore
2007	2,204	--	Rs 10 crore

Source: National Crime Records Bureau

Detected by Commercial Banks

YEAR	NUMBER OF PIECES	VALUE (RS)
2004-05	1,81,928	Rs 2,43,79,460
2005-06	1,23,917	Rs 1,76,75,150
2006-07	1,04,743	Rs 2,31,90,300
2007-08	1,95,811	Rs 5,49,91,180

Source: RBI

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up its vigil at the Bangalore airport. IB will take control of the immigration and foreign registration wings from April 2009, which currently is managed by the state police. Says Karnataka Home Minister V.S. Acharya: "It is a matter of concern for the country and not just the states. It is not just a state issue, it is a national problem."

Fake currency is also proving to be a very lucrative business venture which pays for saboteurs and terrorist outfits to carry out their activities in

Interrogation of those arrested with fake Indian currencies, both in India and abroad, shows that the operation has manufacturing bases and distribution channels across the globe. In 2005, a Chinese national Jin Bing You was arrested in Bangkok with Rs 38 lakh worth fake Indian currency. Interrogation revealed his nexus with Dawood. Further interrogation revealed the network's spread into Hong Kong and Shanghai. Another big operator, according to

are mostly involved in distribution, are spread across Nepal, Malaysia, Thailand and also India. As only the big city banks have the latest fake detection machines, the fake currency consignments easily melt away in the currency market. Even in the cases of seizures, the culprits are rarely punished for want of clinching evidence. One of the major stumbling blocks is that the police investigators are required to send samples of the fake currency seized to the Government Security Press at